

people's money to make a lot of money very quickly, but in the same way you can lose that money just as fast.

Some companies also hedge through forex. For example, say you run a skincare company that is based in the US but you sell your products to New Zealand.

If a product costs you US\$50 to make and you sell it for NZ\$100, you'll run into the problem of the cost and sale price fluctuating and you may not have the stability you need to pay your employees.

If you short the NZD and buy USD, then the rise of the USD will offset any loss in profit from the sale of the skincare. And if the USD drops then you lose the short but the profit from the product itself makes up for it. As a result, you get to protect your company profits from the up and down of the market.

Investors in training know that with forex trading you're a small fish in a big pond, trading alongside major investment banks, full-time forex traders and hedge fund managers. In fact, retail investors only make up 5.5 per cent of forex traders, and they are more likely to lose money.

Cryptocurrency

Spanx, the shapewear brand, was founded by a young woman in her basement with a few thousand dollars. Now it's worth billions of dollars. Someone who doesn't understand shapewear may ask, why was it made and why is it so successful?

Cryptocurrency falls into the same category. It solves a problem, but the problem isn't so obvious.

'Normal' currency such as the USD or the British pound is at the mercy of governments and banks. Cryptocurrency was made to solve the issue of what would happen if governments or banks 'turned bad' and abused their power to control currency. It's hard to imagine that our governments and banks could lock all our bank accounts away from us forever, but I've lived through 2020 and it feels like crazier things have happened.

After the 2008 Global Financial Crisis, people wanted a currency that was completely decentralised from any government or institutions. An